

Act (PPA) of 2006. The term “ERISA” is used to refer to all laws concerning pension regulation, including legislation subsequent to the original act. ERISA only regulates pension plans after companies create them; it does not mandate that companies form them.

ERISA’s primary purpose is to protect the fund beneficiaries. ERISA specifies that companies with a defined benefit plan set aside sufficient money to meet its liabilities. Under the PPA, the target is that 100% of liabilities (to be made precise shortly) should be met, and if the plan is *underfunded*, the company must make additional contributions to close the gap over seven years.²⁷ For “at-risk” or “critical” plans, which are well under water, there are additional penalties and contributions to be made. (Of course, the funding issue is irrelevant for defined contribution plans.) These contributions are costly: money put into corporate pension plans means less money for the firm to invest and lower payouts for shareholders.²⁸ Pension expenses have large effects on share prices: AT&T’s pension fund went from a \$17 billion surplus in 2007 to a nearly \$4 billion dollar deficit in 2008, and this played a major role in the decline of AT&T’s equity over this period.²⁹

ERISA came about due to a number of high-profile bankruptcies, particularly in the automotive sector, during the late 1950s and 1960s. The head of the United Auto Workers Union at the time, Walter Reuther, pressed federal policymakers for a mechanism to protect worker pensions similar to the Federal Deposit Insurance Corporation (FDIC), which protects depositors in banks.³⁰ Since mandating 100% funding does not guarantee that funds will always meet their liabilities because of investment risk, ERISA specifies a safety net to protect beneficiaries of failed pension plans. This safety net is the Pension Benefit Guaranty Corporation (PBGC).

PBGC

The PBGC takes over pension plans of bankrupt companies and can also take over pension funds of companies that have not yet declared bankruptcy but are in financial distress. The PBGC receives the pension plan assets and becomes an unsecured creditor for the unfunded benefits. Beneficiaries of failed pension plans administered by the PBGC receive their pensions, up to an annual maximum, which in 2012 was \$55,841. This covers most workers’ pensions: for the 16%

²⁷In addition, FAS 158, implemented in 2006, requires plan sponsors to “flow through” pension fund deficits into their financial statements. In 2008 and 2010, Congress passed “funding relief” laws to temporarily relax some of the tighter funding requirements imposed by the PPA. Prior to the PPA, sponsors were required to generally fund only 90%, and sometimes only 80%, of pension liabilities and to make up smaller fractions of shortfalls over much longer periods.

²⁸See Rauh (2006).

²⁹See Ang, Chen, and Sundaresan (2013).

³⁰For further history, see Schiebler (2012).